CURRENT PILOT BUSINESS PLAN

# A measured first center, built to earn the right to expand.

One owned location in Independence, Missouri | 38 children ages 2–5, all-day care | 12 months | first-month checkpoint

Model pilot-38-v5.2, prepared 13 October 2026.




Futures Friends joins Booker, Lumi, Zuri and Bop to early literacy, movement, nutrition, belonging and family routines. This pilot reuses the website, CRM, ATS, store, characters and learning materials while finishing the secure family and child workflows required for one real center.

**Decision posture:** This is an itemized cost estimate, not a financeable loan recommendation. At the owner-confirmed locked-in tuition of $210/week ($910/month), ongoing operations show a positive operating margin of $112,354.23 a year before building payments and debt, with the owner serving as unpaid director. The building payment and lender terms are unknown, so loan affordability is not established. Actual liability and past creator compensation are unresolved.

# 1. The investment case

The pilot is designed to answer operational questions with real families and real cash records before national rollout. Expansion is a Phase 2 decision, not part of this ask.

| $347,911.98 | $449,944.47 | $286,007.37 | $112,354.23 |
|---|---|---|---|
| FUNDING ESTIMATE BEFORE FINANCING | YEAR 1 WITH CONTINGENCY | ANNUAL RECURRING | YEAR 2 OPERATING MARGIN AT $210/WEEK |

| Decision item | Current model | What must be verified |
|---|---|---|
| Center | Owned Independence, MO; ages 2–5; 38 children, all-day care | Licensed capacity, rooms, age mix and open hours |
| Staffing | Owner as unpaid director; 4 full-time caregivers and 1 part-time floater at $16/hour | Signed roster, payroll, and the Missouri ratio and age mix |
| Funding | Funding estimate before financing $347,911.98 | Not a loan ask until the building payment and lender terms are known |
| Building | Owner-specified $140,000 refinance-enabling need | Payoff statement, closing costs, points and new payment |
| Revenue | Locked-in $210/week ($910/month); 96% collection | Signed enrollment, discounts, demand and actual collections |
| Debt | Cash after recurring operations and building payment | Lender offer, coverage, collateral and guarantees |

At 38 children on the locked-in rate, annual receipts are $398,361.60 and year-two operating margin is $112,354.23 before the building payment, investor debt and profit tax. Break-even realized tuition is $651.16 per child per month (about $150/week). Enrollment reaches 38 in month 8; the first cash-positive month is month 6.

# 2. Staffing and coverage

The roster has 5 paid people: 4 full-time caregivers and 1 part-time relief floater, all at $16/hour with no employer health benefit. The owner serves as director, unpaid; a market director (about $60,240.72 all-in) is excluded from the budget. There is no food worker and there are no paid substitutes.

| Person | Hours/year | Rate | Annual wages | Shift / role |
|---|---|---|---|---|
| Owner-director (unpaid) | 2,080 | $0.00 | $0.00 | Qualified director on duty (unpaid) |
| Full-time caregiver 1 | 2,080 | $16.00 | $33,280.00 | 7am–5pm on the floor; two groups of up to 20 |
| Full-time caregiver 2 | 2,080 | $16.00 | $33,280.00 | 7am–5pm on the floor; two groups of up to 20 |
| Full-time caregiver 3 | 2,080 | $16.00 | $33,280.00 | 7am–5pm on the floor; two groups of up to 20 |
| Full-time caregiver 4 | 2,080 | $16.00 | $33,280.00 | 7am–5pm on the floor; two groups of up to 20 |
| Part-time break/admin floater | 1,040 | $16.00 | $16,640.00 | Breaks and lunch: Part-time floater (relief) |

Total planning wages: $149,760.00. All-day care for 38 children: four full-time caregivers on the floor in two groups of up to 20; a part-time floater covers breaks and lunch relief; no food worker (meals prepared by staff; food costs retained); no paid substitutes (the floater covers absences, leaving breaks uncovered on those days); the owner is the unpaid director.

This pattern is conditional on the Missouri rule: 5 CSR 25-500.112: mixed ages 2+ with up to 4 two-year-olds per group 1:10, max group 20; >4 two-year-olds 1:8, max 16. If a group has more than four 2-year-olds, more adults are needed. Owner serves as director (unpaid); a market director salary (about $60,240.72 all-in) is excluded. Missouri requires a qualified director on duty 40 h/wk (5 CSR 25-500.102(2)).

Caregivers hired as enrollment grows: 2 for up to 20 children, 3 for 21–30, 4 for 31–38 (Missouri 1:10, up to 4 two-year-olds per group; minimum two adults on site). Any additional classroom coverage beyond the four caregivers and floater is provided by the owner-director and a head of administration at no added payroll cost (owner, 2026-10-13). Anyone counted in ratio keeps Missouri records on file: background check, medical/TB report, orientation, 12 annual training hours (5 CSR 25-500.102, .122).

Employer taxes, workers compensation, background checks, CPR and training are separate line items. No employer medical or retirement contribution and no blanket unemployment reserve are included.

# 3. Cash, enrollment and repayment

The first-year cash schedule ramps enrollment from 6 to 38 children, reaching full enrollment in month 8. One-time launch spending is front-loaded into the first months; the schedule shows when cash is needed rather than treating the full annual total as a monthly payment.

| Month | Children | Receipts | Recurring | One-time | Net | Cumulative |
|---|---|---|---|---|---|---|
| 1 | 6 | $5,241.60 | $15,956.20 | $63,937.80 | -$74,652.40 | -$74,652.40 |
| 2 | 11 | $9,609.60 | $16,381.61 | $35,521.00 | -$42,293.01 | -$116,945.41 |
| 3 | 15 | $13,104.00 | $16,721.93 | $21,312.60 | -$24,930.53 | -$141,875.94 |
| 4 | 20 | $17,472.00 | $17,147.34 | $14,208.40 | -$13,883.74 | -$155,759.68 |
| 5 | 24 | $20,966.40 | $20,562.45 | $7,339.20 | -$6,935.25 | -$162,694.93 |
| 6 | 29 | $25,334.40 | $20,651.56 | $0.00 | $4,682.84 | -$158,012.09 |
| 7 | 33 | $28,828.80 | $23,774.17 | $235.00 | $4,819.63 | -$153,192.46 |
| 8 | 38 | $33,196.80 | $23,833.95 | $0.00 | $9,362.85 | -$143,829.61 |
| 9 | 38 | $33,196.80 | $23,833.95 | $0.00 | $9,362.85 | -$134,466.76 |
| 10 | 38 | $33,196.80 | $23,833.95 | $0.00 | $9,362.85 | -$125,103.91 |
| 11 | 38 | $33,196.80 | $23,833.95 | $0.00 | $9,362.85 | -$115,741.06 |
| 12 | 38 | $33,196.80 | $23,833.95 | $0.00 | $9,362.85 | -$106,378.21 |

**One-time vs recurring:** $142,554.00 of one-time launch and completion spending falls in months 1–7; recurring cost is $286,007.37 a year. Net cash turns positive in month 6; cumulative pilot cash turns positive in month 24 at the month-12 rate (full enrollment, no further one-time costs), before building payments and debt.

**Repayment rule:** monthly debt service is considered only after recurring operations and the actual building payment. A 1.25 coverage screen is a planning test, not a lender promise. Operating margin is positive before building payments and debt, but debt capacity stays unknown until the building payment and lender terms are known.

Peak cumulative deficit: $162,694.93. One-month cash floor: $23,833.95. Break-even realized tuition: $651.16 per child per month before building/debt. Tuition, costs, licensed capacity and demand still require verification.

# 4. Every priced category

Each row in the digital register carries an item, quantity, rate, formula, bucket, evidence basis and source URL where one exists. Published prices, tax formulas and quote-required allowances remain distinguished.

| Category | Annual total | Register evidence |
|---|---|---|
| Staff wages | $149,760.00 | Itemized rows in CSV / JSON |
| Platform completion | $57,000.00 | Itemized rows in CSV / JSON |
| Building operations | $34,320.00 | Itemized rows in CSV / JSON |
| Pilot content production | $25,740.00 | Itemized rows in CSV / JSON |
| Food and nutrition | $24,000.00 | Itemized rows in CSV / JSON |
| Platform assurance | $24,000.00 | Itemized rows in CSV / JSON |
| Curriculum and clinical review | $17,800.00 | Itemized rows in CSV / JSON |
| Employer taxes | $12,735.84 | Itemized rows in CSV / JSON |
| Insurance | $12,700.00 | Itemized rows in CSV / JSON |
| Local marketing | $11,400.00 | Itemized rows in CSV / JSON |
| Platform support | $10,800.00 | Itemized rows in CSV / JSON |
| Refinance transaction | $6,400.00 | Itemized rows in CSV / JSON |
| Pilot content support | $6,000.00 | Itemized rows in CSV / JSON |
| Administration | $5,952.00 | Itemized rows in CSV / JSON |
| Payments | $5,632.08 | Itemized rows in CSV / JSON |
| Safety and equipment | $4,220.00 | Itemized rows in CSV / JSON |
| Hosting and software | $4,052.20 | Itemized rows in CSV / JSON |
| Cleaning and consumables | $3,110.18 | Itemized rows in CSV / JSON |
| Staff insurance | $2,995.20 | Itemized rows in CSV / JSON |
| Classroom materials | $2,904.00 | Itemized rows in CSV / JSON |
| Pilot devices | $2,580.00 | Itemized rows in CSV / JSON |
| Staff readiness | $2,310.00 | Itemized rows in CSV / JSON |
| Classroom and office consumables | $1,599.87 | Itemized rows in CSV / JSON |
| Store pilot | $550.00 | Itemized rows in CSV / JSON |

The complete 234-line register is available at Pilot_38_Children_Itemized.csv and the digital cost explorer. The PDF is a decision brief; the register is the audit trail.

Owner-set budgets: food and nutrition capped at $2,000.00/month ($24,000.00/year), held at the cap through the enrollment ramp, while menus still meet the Missouri meal pattern (5 CSR 25-500.202); toiletries and cleaning within $300.00/month ($3,110.18/year with paper towels halved); classroom and office consumables halved to $1,599.87/year; utilities (electricity, gas, water/sewer) locked at $1,500.00/month; tax preparation $1,000.00/year; curriculum mapping $7,500.00 and native Spanish review $1,500.00, one-time, with no recurring curriculum or Spanish review fee; RN consultation $2,000.00/year; administration cut to $5,872.00/year (part-time bookkeeper); building upkeep handled in-house (lawn, HVAC service, electrical, parking and staff mobile removed; snow halved).

# 5. Platform delivery and acceptance

The pilot reuses the existing website, CRM, ATS, store and character library. This is a completion allowance for one center and 38 children; it is not the replacement price of everything already created.

| Platform allocation | Amount / timing |
|---|---|
| Completion: 380 hours at $150 | $57,000.00 one-time |
| Independent test / retest and counsel | $20,400.00 one-time |
| Total one-time platform work | $77,400.00 |
| Support, privacy maintenance and hosting | $18,452.20 annually; $1,537.68 monthly average |
| Year-1 platform allowance | $95,852.20 |
| Platform contingency already included | $11,610.00 within the overall $21,383.10 contingency; do not add twice |

$150/hour is a selected planning allowance, not a published market average or a vendor quote. A fixed-scope completion quote must confirm that the existing code is reusable.

Completion estimate, not proof of a live service. The October 10 source plan reported unhosted services, draft activities, unconnected billing and pending consent/testing. Current live acceptance remains unverified.

The allowance can be enough only if an audit confirms reusable code and a contractor accepts the remaining scope. Release payment against working deliverables. Public screens alone do not establish readiness.

# One-time engineering: every deliverable

| ID / work | Calculation / amount | Why essential / acceptance evidence |
|---|---|---|
| P175 Existing-build inventory and deployment acceptance | 20 hours × $150.00 = $3,000.00; one-time | Confirm the existing work is reusable before committing the completion price. Code and dependency audit, written remaining-work scope, reproducible staging and production deployment. |
| P176 Family/child authentication and guardian consent | 40 hours × $150.00 = $6,000.00; one-time | Give parents secure access to their own family and preserve consent evidence. Invites, login, password reset, family linking and parent consent; another family cannot be accessed. |
| P177 Existing CRM ATS store integration | 25 hours × $150.00 = $3,750.00; one-time | Connect the existing CRM, ATS and store to the pilot workflows. Existing applicant/customer records and store checkout tested end to end; this is integration, not three new products. |
| P178 Curriculum work records and parent progress digest | 60 hours × $150.00 = $9,000.00; one-time | Make approved learning activities teachable and save the work children complete. Educator-approved activities, persistent learning records, teacher review and a parent weekly digest. |
| P179 Finite character messages and QR routines | 20 hours × $150.00 = $3,000.00; one-time | Deliver short character-led routines safely at home and in the classroom. Parent-approved finite character messages and QR routines; no open-ended child AI conversation. |
| P180 Bilingual product review and fixes | 25 hours × $150.00 = $3,750.00; one-time | Let families complete essential workflows in English or Spanish. Critical journeys and content reviewed in both languages; native-language sign-off required. |
| P181 Role security private files and consent audit | 65 hours × $150.00 = $9,750.00; one-time | Protect child records and files behind server-enforced access rules. Staff MFA, role and family isolation, private uploads and audit events tested with separate accounts. |
| P182 Backup restore monitoring deployment controls | 40 hours × $150.00 = $6,000.00; one-time | Keep a recoverable copy and respond when something fails. Offsite backups, demonstrated restore, monitoring, rollback and a named incident owner. |
| P183 Accessibility iPad and browser verification | 35 hours × $150.00 = $5,250.00; one-time | Make the pilot usable on the devices families actually use. Safari/iPad, mobile layout, keyboard and accessibility checks on agreed devices. |
| P184 UAT staff training onboarding and launch | 50 hours × $150.00 = $7,500.00; one-time | Prove the complete pilot works before inviting real families. 38 synthetic family accounts tested end to end, staff training, documented acceptance and a 30-day checkpoint. |

# Assurance and ongoing service

| ID / service | Calculation / amount | Timing / delivery |
|---|---|---|
| P185 Independent manual web/API penetration test with retest | 1 engagement × $12,000.00 = $12,000.00 | one time; Obtain independent security evidence. Manual multi-role application/API penetration test and retest; no unresolved Critical or High findings at launch. |
| P186 Privacy counsel consent contracts and retention review | 24 legal hours × $350.00 = $8,400.00 | one time; Review child privacy and home-use obligations with qualified counsel. Consent, retention, vendor data agreements and home-use notices reviewed; legal approval is not yet established. |
| P187 Security/privacy maintenance review | 24 hours × $150.00 = $3,600.00 | recurring; Keep privacy and security procedures current through the pilot. 24 hours/year, averaging two hours/month; documented review and update log. |
| P188 Technical maintenance and support | 72 hours × $150.00 = $10,800.00 | recurring; Provide a named person for routine fixes and operating support. 72 hours/year, averaging six hours/month; written response targets. Extra work requires a separate quote, not 24/7 coverage. |

# Hosting, tools and recovery: recurring

| ID / expense | Calculation / annual amount | Purpose |
|---|---|---|
| P189 DigitalOcean production compute | 12 months × $48.00 = $576.00 | Production server needed for the pilot service. Production server configured and verified; usage, renewal and account ownership recorded. |
| P190 DigitalOcean staging compute | 12 months × $24.00 = $288.00 | Staging server needed for the pilot service. Staging server configured and verified; usage, renewal and account ownership recorded. |
| P191 Object storage | 12 months × $5.00 = $60.00 | Object storage needed for the pilot service. Object storage configured and verified; usage, renewal and account ownership recorded. |
| P192 Daily compute backup | 12 months × $21.60 = $259.20 | Daily server backup needed for the pilot service. Daily server backup configured and verified; usage, renewal and account ownership recorded. |
| P193 Supabase Pro | 12 months × $25.00 = $300.00 | Managed database/authentication needed for the pilot service. Managed database/authentication configured and verified; usage, renewal and account ownership recorded. |
| P194 Transactional email | 12 months × $20.00 = $240.00 | Transactional email needed for the pilot service. Transactional email configured and verified; usage, renewal and account ownership recorded. |
| P195 Independent encrypted backup storage | 12 months / seats / units × $10.00 = $120.00 | Offsite recovery storage needed for the pilot service. Offsite recovery storage configured and verified; usage, renewal and account ownership recorded. |
| P196 Uptime monitoring | 12 months / seats / units × $12.00 = $144.00 | Monitoring needed for the pilot service. Monitoring configured and verified; usage, renewal and account ownership recorded. |
| P197 Domain renewal | 1 months / seats / units × $25.00 = $25.00 | Domain needed for the pilot service. Domain configured and verified; usage, renewal and account ownership recorded. |
| P198 Password manager | 60 months / seats / units × $8.00 = $480.00 | Staff password manager needed for the pilot service. Staff password manager configured and verified; usage, renewal and account ownership recorded. |
| P199 Help desk subscription allowance | 12 months / seats / units × $30.00 = $360.00 | Help desk needed for the pilot service. Help desk configured and verified; usage, renewal and account ownership recorded. |
| P200 SMS and registration allowance | 12 months / seats / units × $25.00 = $300.00 | SMS needed for the pilot service. SMS configured and verified; usage, renewal and account ownership recorded. |
| P201 CDN/security plan allowance | 12 months / seats / units × $25.00 = $300.00 | CDN/security needed for the pilot service. CDN/security configured and verified; usage, renewal and account ownership recorded. |
| P202 Cloud usage overage allowance | 12 months / seats / units × $50.00 = $600.00 | Usage overage allowance needed for the pilot service. Usage overage allowance configured and verified; usage, renewal and account ownership recorded. |

# Launch acceptance: proof before families rely on it

1. Code and dependency audit, written remaining-work scope, reproducible staging and production deployment.

2. Invites, login, password reset, family linking and parent consent; another family cannot be accessed.

3. Existing applicant/customer records and store checkout tested end to end; this is integration, not three new products.

4. Educator-approved activities, persistent learning records, teacher review and a parent weekly digest.

5. Parent-approved finite character messages and QR routines; no open-ended child AI conversation.

6. Critical journeys and content reviewed in both languages; native-language sign-off required.

7. Staff MFA, role and family isolation, private uploads and audit events tested with separate accounts.

8. Offsite backups, demonstrated restore, monitoring, rollback and a named incident owner.

9. Safari/iPad, mobile layout, keyboard and accessibility checks on agreed devices.

10. 38 synthetic family accounts tested end to end, staff training, documented acceptance and a 30-day checkpoint.

Six support hours per month is lean. Agree response targets, an incident owner, escalation pricing and changes outside scope; this allowance does not buy round-the-clock staffing.

Separately included in the full budget: curriculum/clinical review $17,800; finite pilot content $25,740; pilot-year creative oversight $6,000 (one-time); devices $2,580; local marketing $11,400. These are not additional to the total model. The $3,000 generation cap is not a full 12-episode, seven-minute season. National rollout, bulk tablets and open-ended child AI are excluded.

Budget sufficiency and repayment are separate decisions. The platform allowance is already inside the totals the operating margin covers; it does not by itself establish repayment capacity.

# 6. Sensitivity: price and occupancy

Price and occupancy must be tested together. The locked-in rate is $210/week ($910/month); the higher prices below are illustrative scenario calculations, not market tuition claims and not signed demand.

| Children | Tuition / month | Annual receipts | Operating margin* |
|---|---|---|---|
| 30 | $910.00 | $314,496.00 | $29,636.43 |
| 34 | $910.00 | $356,428.80 | $70,995.33 |
| 38 | $910.00 | $398,361.60 | $112,354.23 |
| 30 | $1,250.00 | $432,000.00 | $146,147.53 |
| 34 | $1,250.00 | $489,600.00 | $203,041.23 |
| 38 | $1,250.00 | $547,200.00 | $259,934.94 |
| 30 | $1,300.00 | $449,280.00 | $163,281.51 |
| 34 | $1,300.00 | $509,184.00 | $222,459.75 |
| 38 | $1,300.00 | $569,088.00 | $281,637.99 |
| 30 | $1,400.00 | $483,840.00 | $197,549.48 |
| 34 | $1,400.00 | $548,352.00 | $261,296.78 |
| 38 | $1,400.00 | $612,864.00 | $325,044.08 |

*Before building payment, investor debt and profit tax. A positive scenario is not a financing commitment. At the locked-in rate the model is positive at 38 children ($112,354.23). A lender-ready plan needs signed enrollment, verified costs and a positive recurring margin with coverage after building payments.

Stress case with no tuition receipts: $613,778.42 before mortgage and financing. This is a planning boundary, not a recommended raise.

# 7. Gates, evidence and blind spots

Funding should release against evidence. Each gate converts a claim into something an investor can inspect.

| Gate | Evidence required before release |
|---|---|
| Scope | Signed age roster, room capacity, hours, current staff and payroll |
| Revenue | Signed enrollment at the locked-in rate, discounts, enrollment demand and collection history |
| Building | $140,000 purpose, lender payoff/payment statement, points and closing terms |
| Product | Working family/child records, consent, billing, role isolation, private files and restore |
| Safety | Educator and clinical review, approved content, state-required training and insurance |
| Security | Independent manual test, retest letter, backup/restore and iPad/browser checks |
| Economics | Three months actual receipts and costs; positive ongoing cash before debt service |
| Rights | Creator contracts, deliverables, payments and character/video rights reconciled |

Known exclusions and unknowns: mortgage payment, lender fees, past creator fees, actual food/utility/insurance quotes, current tax treatment, signed enrollment, state approval/accreditation, national expansion receipts and season production. They are excluded or labeled unknown; they are not silently zero.

# 8. Source and review notes

This current pilot package (model pilot-38-v5.2, prepared 13 October 2026) is intentionally narrower than the historical expanded plan. It preserves the substantive operating direction while aligning the financial story to one center and the owner-confirmed staffing and tuition.

| Evidence area | Reference |
|---|---|
| Child-care ratios | Missouri 5 CSR 25-500 rules: https://www.sos.mo.gov/CMSImages/AdRules/csr/current/5csr/5c25-500.pdf |
| Local wage benchmark | O*NET Missouri preschool teachers: https://www.onetonline.org/link/localwages/25-2011.00?st=MO |
| Payroll formulas | IRS Publication 15: https://www.irs.gov/publications/p15 |
| Missouri unemployment | Missouri Department of Labor: https://labor.mo.gov/des/employers/tax-rates |
| Digital cost evidence | https://dvolcore.github.io/futures-friends/investor/Digital/cost-explorer.html |
| Complete line items | https://dvolcore.github.io/futures-friends/investor/costs/Pilot_38_Children_Itemized.csv |
| Monthly cash schedule | https://dvolcore.github.io/futures-friends/investor/costs/Pilot_38_Children_Monthly_Cash.csv |

Prepared from the current pilot-budget.json and current pilot business-plan markdown. Amounts are planning estimates until replaced by signed statements, quotes or invoices. This document does not offer securities, guarantee returns or represent lender approval.